ours p.1 (red) over filed p.1 (blue)

No. 26-2459

In the

United States Court of Appeals

for the

Eighth Circuit

Chris Wolters,

Plaintiff – Appellee,

v.

Sweepsteaks Limited d/b/a Stake.us,

Defendant – Appellant.

On Appeal from the United States District Court for the District of Minnesota

Case No. 0:25-cv-03280-JRT-JFD; Hon. John R. Tunheim

APPELLANT'S OPENING BRIEF

Aaron D. Van Oort
Grace Rybak
Faegre Drinker Biddle & Reath LLP
2200 Wells Fargo Center
90 South Seventh Street
Minneapolis, Minnesota 55402
Aaron.VanOort@FaegreDrinker.com
Grace.Rybak@FaegreDrinker.com
Phone: (612) 766-7000

A. Jeff. Ifrah
Kim Conroy
John Mikuta
Ifrah PLLC
1717 Pennsylvania Ave. NW, Suite 650
Washington, D.C. 20006
Jeff@IfrahLaw.com
KConroy@IfrahLaw.com
JMikuta@IfrahLaw.com
(202) 524-4140

APPELLANT'S OPENING BRIEF

Aaron D. Van Oort
Grace Rybak
FAEGRE DRINKER BIDDLE & REATH LLP
2200 Wells Fargo Center
90 South Seventh Street
Minneapolis, Minnesota 55402
Aaron.VanOort@FaegreDrinker.com
Grace.Rybak@FaegreDrinker.com
Phone: (612) 766-7000
Fax: (612) 766-1600

A. Jeff. Ifrah
Kim Conroy
John Mikuta
IFRAH PLLC
1717 Pennsylvania Ave. NW, Suite 650
Washington, D.C. 20006
Jeff@IfrahLaw.com
KConroy@IfrahLaw.com
JMikuta@IfrahLaw.com
Phone: (202) 524-4140

SUMMARY OF THE CASE AND REQUEST FOR ORAL ARGUMENT

SUMMARY OF THE CASE

When Chris Wolters joined Sweepsteaks Limited's online social gaming platform, he agreed to arbitrate all disputes by affirmatively checking a box agreeing to the Terms and Conditions. He also unambiguously agreed to delegate all threshold questions of validity and enforceability of the Terms and Conditions to the arbitrator. Despite having entered that agreement, Wolters filed this suit. And despite the parties' unmistakable delegation of questions of validity to the arbitrator, the district court ruled on them. That was an error, and this Court should reverse.

As this Court recently and rightly declared in reversing another order denying a motion to compel arbitration issued by the same district court, "[c]hallenges to the validity of an agreement to arbitrate are distinct from challenges to the entire contract." *Benchmark Ins. Co. v. SUNZ Ins. Co.*, 36 F.4th 766, 772 (8th Cir. 2022). Challenges to the validity of the contract therefore must be sent to arbitration. This is true as a matter of federal substantive law, and the parties here could not and did not agree otherwise. The district court also wrongly found a question of fact regarding contract formation, despite objective evidence of consent and counsel's concession that Wolters "does not necessarily dispute whether he signed the contract."

Four previous times, the Court has reversed this district court judge for denying motions to compel arbitration. The Court should do so again. Sweepsteaks Limited requests 15 minutes of oral argument per side.

CORPORATE DISCLOSURE STATEMENT

CORPORATE DISCLOSURE STATEMENT

Appellant Sweepsteaks Limited has a parent corporation, Well Done STK Limited. No publicly held corporation owns 10 percent or more of Sweepsteaks Limited's or Well Done STK's stock. *See* Fed. R. App. P. 26.1(a); 8th Cir. R. 26.1A.

Appellant Sweepsteaks Limited has a parent corporation, Well Done STK Limited. No publicly held corporation owns 10 percent or more of Sweepsteaks Limited's or Well Done STK's stock. See Fed. R. App. P. 26.1(a); 8th Cir. R. 26.1A.

TABLE OF CONTENTS

Page

JURISDICTIONAL STATEMENT 1

STATEMENT OF THE ISSUES 1

STATEMENT OF THE CASE 3

SUMMARY OF THE ARGUMENT 8

ARGUMENT 9

I. All Disputes Between Wolters and Sweepsteaks Should Be Directed To Arbitration, And This Litigation Should Be Stayed. 10

A. The Parties validly formed an arbitration agreement, and the agreement requires arbitration of all disputes Wolters raises. 11

B. The district court erred in ruling on Wolters' challenge to the validity of the contract, because the parties delegated that dispute to the arbitrator. 16

C. The district court erred in finding a material dispute of fact over contract formation. 20

D. Wolters' argument that the arbitration clause is unconscionable must be decided by the arbitrator. 24

CONCLUSION 24

TABLE OF CONTENTS
TABLE OF AUTHORITIES iv
JURISDICTIONAL STATEMENT 1
STATEMENT OF THE ISSUES 1
STATEMENT OF THE CASE 2
SUMMARY OF THE ARGUMENT 3
ARGUMENT 3
I. All Disputes Between Wolters and Sweepsteaks Should Be Directed To Arbitration, And This Litigation Should Be Stayed. 4
A. The Parties validly formed an arbitration agreement, and the agreement requires arbitration of all disputes Wolters raises. 5
CONCLUSION 7
CERTIFICATE OF COMPLIANCE 8
CONCLUSION 24
CERTIFICATE OF SERVICE 9

TABLE OF AUTHORITIES

TABLE OF AUTHORITIES

Cases **Page(s)**
Cases: **Page(s)**

Am. Express Co. v. Italian Colors Rest.,
570 U.S. 228 (2013) 10

Asia Pac. Indus. Corp. v. Rainforest Café, Inc.,
380 F.3d 383 (8th Cir. 2004) 2, 11, 20

Bailey v. Ameriquest Mortg. Co.,
346 F.3d 821 (8th Cir. 2003) 9

Benchmark Ins. Co. v. SUNZ Ins. Co.,
36 F.4th 766 (8th Cir. 2022) ..... *passim*

Boyle v. Anderson Pharms., LLC,
No. 25-00302, 2025 WL 1674480 (C.D. Cal. May 19, 2025) 19

Buckeye Check Cashing, Inc. v. Cardegna,
546 U.S. 440 (2006) ..... *passim*

Chergosky v. Crosstown Bell, Inc.,
463 N.W.2d 522 (Minn. 1990) 18

City of Benkelman v. Baseline Eng'g Corp.,
867 F.3d 875 (8th Cir. 2017) 20

Conrad, Inc. v. Epic Games, Inc.,
766 F. Supp. 3d 873 (W.D. Mo. 2025) 21

Current Tech. Concepts, Inc. v. Irie Enters., Inc.,
530 N.W.2d 539 (Minn. 1995) 17

Dixon v. Sweepsteaks Ltd.,
No. 25-09641 (D.S.C. May 27, 2026) 19

Eckert/Wordell Architects, Inc. v. FJM Props. of Willmar, LLC,
730 F.3d 698 (8th Cir. 2014) 14

Epic Sys. Corp. v. Lewis,
584 U.S. 497 (2018) 10

Erickson v. Nationstar Mortg., LLC,
15 F.4th 860 (8th Cir. 2021) 6

Foster v. Walgreen Co.,
671 F.3d 746 (8th Cir. 2012) 20

Gen. Mills, Inc. v. Gonzalez Trucking Corp.,
856 F.3d 1160 (8th Cir. 2017) 4

Parm v. Bluestem Brands, Inc.,
898 F.3d 869 (8th Cir. 2018) 4, 5

Pine River State Bank v. Mettille,
333 N.W.2d 622 (Minn. 1983) 5

Rent-A-Center, W., Inc. v. Jackson,
561 U.S. 63 (2010) 2, 3

3CI Minn. Funeral Servs., Inc. v. Washburn-McReavy Funeral Corp., 795 N.W.2d 855 (Minn. 2011) 5

9 U.S.C. § 3 ..... 10, 15

9 U.S.C. § 4 ..... 10, 13

9 U.S.C. § 16(a)(1)(B) 1

Statutes:

28 U.S.C. § 1294 1

28 U.S.C. § 1332(d) 1

9 U.S.C. § 16(a)(1)(B) 1

9 U.S.C. § 2 2

Rules:

Fed. R. Civ. P. 56 ..... 2, 20, 22

Minn. Stat. § 325D.44 6

Minn. Stat. § 325F.67 6

Minn. Stat. § 325F.69 6

Minn. Stat. § 541.20 5

JURISDICTIONAL STATEMENT

The district court had original jurisdiction under the federal diversity jurisdiction statute, 28 U.S.C. § 1332(d), because the case is a putative class action involving more than 100 members, the parties are diverse, and Wolters alleges that the amount in controversy exceeds the jurisdictional minimum of $5 million.

This Court has appellate jurisdiction under 28 U.S.C. § 1294 and 9 U.S.C. § 16(a)(1)(B). *See Benchmark Ins. Co. v. SUNZ Ins. Co.*, 36 F.4th 766, 770 (8th Cir. 2022). Sweepsteaks Limited timely filed a notice of appeal on July 15, 2026, from a July 1, 2026, order of the district court that denied Sweepsteaks Limited's motion to compel arbitration under the Federal Arbitration Act.

STATEMENT OF THE ISSUES

1. **Delegation to the arbitrator and severability.** The parties agreed to arbitrate "any and all Disputes, including without limitation any question regarding the existence, validity, enforceability, or termination of these Terms and Conditions." (App.84; R. Doc. 16-1, at 28 § 26.6(a).) Wolters argued that the Terms and Conditions were invalid as addressing the subject of gambling and so the arbitration agreement was invalid as well, but "[t]he Supreme Court has made clear that 'unless the challenge is to the arbitration clause itself, the issue of the contract's validity is considered by the arbitrator in the first instance.'" *Benchmark*, 36 F.4th at 772 (quoting *Buckeye Check Cashing, Inc. v. Cardegna*, 546 U.S. 440, 445–46 (2006)). Did the district court err in considering the contract's validity instead of sending that issue to arbitration?

Apposite Statute

- Federal Arbitration Act, 9 U.S.C. §§ 2–4.

Apposite Cases

- *Buckeye*, 546 U.S. 440 (2006); *Rent-A-Center, W., Inc. v. Jackson*, 561 U.S. 63 (2010).

2. **Contract formation.** Sweepsteaks submitted evidence that no user could access its platform without checking a box next to the statement "I have read and agree to the terms and conditions," and that Wolters checked that box when he created his account. (App.52; R. Doc. 15, at 3 ¶ 11.) Wolters presented no evidence. At oral argument on the motion to compel, counsel for Wolters stated that he "does not necessarily dispute whether he signed the contract." (App.314; R. Doc. 31, at 19:16–17.) Did the district court err by finding a disputed issue of fact on contract formation?

Apposite Rule

- Fed. R. Civ. P. 56.

Apposite Cases

- *Asia Pacific Industrial Corp. v. Rainforest Café, Inc.*, 380 F.3d 383 (8th Cir. 2004).
- *Erickson v. Nationstar Mortgage, LLC*, 31 F.4th 1044 (8th Cir. 2022).

3. **Delegation to the arbitrator.** The parties' arbitration agreement extends to "any and all Disputes, including without limitation any question regarding the existence,

STATEMENT OF THE CASE

On November 25, 2022, Plaintiff Chris Wolters created a user account on Stake.us. (App.51; R. Doc. 15, at 2 ¶ 8.) Stake.us is an online social gaming platform operated by Defendant Sweepsteaks Limited that provides interactive games. (App.50; R. Doc. 15, at 1 ¶ 4.)

The district court briefly provided a second ground for its decision, concluding that "disputes of fact remain as to whether any contract was formed." (Add.15; R. Doc. 26, at 15.) The court based this decision on the lack of identifying information about Wolters on the face of a screenshot and a general paragraph in Craven's declaration. (Add.14; R. Doc. 26, at 14.) The court did not address either the provisions in Craven's declaration specific to Wolters or the concession of Wolters' counsel at argument that "Mr. Wolters does not necessarily dispute whether he signed the Contract." (App.314; R. Doc. 31, at 16:16-17).

The court declined to address Wolters' argument that the arbitration agreement was unconscionable. (Add.15; R. Doc. 26, at 15 n.8.)

SUMMARY OF THE ARGUMENT

Sweepsteaks Limited timely filed its notice of appeal on July 15, 2026.

Wolters entered into a binding arbitration agreement with Sweepsteaks Limited by clicking a box to indicate acceptance of the Terms and Conditions. Those Terms and Conditions contained an arbitration agreement sending "any and all Disputes," including over threshold arbitrability issues, to arbitration. Wolters's entire case, including his arguments that the Terms and Conditions permit illegal gambling and that the arbitration clause contains unconscionable terms, must therefore be heard by an arbitrator in the first instance.

ARGUMENT

First, under Supreme Court precedent, the provision of the Terms and Conditions delegating all disputes to arbitration must be severed and separately

Buckeye, shall be considered by an arbitrator, not a court." 36 F.4th at 772. The district court committed the same error here, and this Court should again reverse.

The Court "reviews a determination concerning the arbitrability of a dispute *de novo*." *McLeod*, 856 F.3d at 1163.

I. All Disputes Between Wolters and Sweepsteaks Should Be Directed To Arbitration, And This Litigation Should Be Stayed.

Congress enacted the Federal Arbitration Act (FAA) "in response to widespread judicial hostility to arbitration." *Am. Express Co. v. Italian Colors Rest.*, 570 U.S. 228, 232 (2013). In the FAA, Congress "specifically directed [courts] to respect and enforce the parties' chosen arbitration procedures" by "rigorously . . . enforc[ing] arbitration agreements according to their terms." *Epic Sys. Corp. v. Lewis*, 584 U.S. 497, 506 (2018) (quoting *Italian Colors*, 570 U.S. at 233).

Section 2 of the FAA thus provides that "[a] written provision in . . . a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract . . . shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." 9 U.S.C. § 2. Sections 3 and 4 "establish[] procedures by which federal courts implement [Section] 2's substantive rule." *Rent-A-Center*, 561 U.S. at 68. Under those provisions, district courts "shall" stay litigation where "the issue involved in such suit or proceeding is referable to arbitration," 9 U.S.C. § 3, and issue "order[s] directing the parties to proceed to arbitration in accordance with the terms of the agreement," *id.* § 4.

A. The Parties validly formed an arbitration agreement, and the agreement requires arbitration of all disputes Wolters raises.

When this Court "review[s] an order denying a motion to compel arbitration," it asks "[t]wo questions": (1) "whether the parties entered a valid arbitration agreement"; and (2) "whether the parties' particular dispute falls within the scope of the arbitration agreement." *Parm*, 898 F.3d at 873 (quotation marks omitted). Here, the answer to both questions is "yes."

First, Wolters and Sweepsteaks Limited formed a valid agreement to arbitrate. "[O]rdinary state-law contract principles" govern formation. *Asia Pac. Indus. Corp.*, 380 F.3d at 385. Under Minnesota law (which the parties agree governs), forming a contract requires (1) an offer that is "definite in form" and "communicated to the offeree," (2) "acceptance of the offer," and (3) "consideration." *Pine River State Bank v. Mettille*, 333 N.W.2d 622, 626–27 (Minn. 1983). Offer and acceptance together show "mutual assent," or a meeting of the minds on the essential elements of the contract, and "[w]hether mutual assent exists is tested under an objective standard." *SCI Minn. Funeral Servs., Inc. v. Washburn-McReavy Funeral Corp.*, 795 N.W.2d 855, 864 (Minn. 2011), meaning it is "judged by the words and actions of the parties." *Asia Pac. Indus. Corp.*, 380 F.3d at 385 (applying Minnesota law).

Here, Sweepsteaks Limited made a definite offer to arbitrate "any and all Disputes." (App.84; R. Doc. 16-1, at 28 § 26.6(a).) It specified that Wolters would accept the offer "[b]y agreeing to these Terms and Conditions." (*Id.*) And Wolters did so

by checking a box next to the statement: "I have read and agree to the terms and conditions." (App.51; R. Doc. 15, at 2 ¶ 8; App.52; R. Doc. 15, at 3 ¶ 11.) By checking the box, Wolters "gave [his] assent in exactly the way the arbitration provision described." *Foster v. Walmart, Inc.*, 15 F.4th 860, 863 (8th Cir. 2021). Under Minnesota's objective approach, Wolters accepted Sweepstakes' offer, and because the parties gave consideration through their mutual agreement to arbitrate (among other terms), a contract was validly formed.

Second, all of Wolters's disputes in this case fall within the scope of the agreement to arbitrate. The merits of Wolters's claims against Sweepstakes—that allegedly illegal gambling games fall within the scope of the agreement, no "one and stage agree that any and all disputes, including without limitation any question regarding the existence, validity, or enforceability of the Terms and Conditions and/or this clause 26 (Dispute Resolution and Agreement to Arbitrate), shall be referred to and finally resolved by arbitration." (App.84; R. Doc. 16-1, at 28 § 26(a).)

Parties can "agree to arbitrate 'gateway' questions of 'arbitrability,'" *Rent-A-Center*, 561 U.S. at 68–69, "so long as the parties' agreement does so by 'clear and unmistakable' evidence," *Henry Schein, Inc. v. Archer & White Sales, Inc.*, 586 U.S. 63, 69 (2019). Among the gateway questions the parties can agree to arbitrate are questions about the validity of the contract as a whole, because "as a matter of substantive federal arbitration law, an arbitration provision is severable from the remainder of the contract." *Buckeye*, 546 U.S. at 445. Moreover, parties can agree to arbitrate even questions about the validity of the arbitration provision itself, and courts must enforce

CONCLUSION

Sweepsteaks Limited respectfully requests that this Court reverse the district court's July 1, 2026 order and remand with instructions to grant Sweepsteaks Limited's motion to compel arbitration, stay this lawsuit, and order that all of Wolters' claims, including all defenses and other issues related to his claims, be addressed in an individual arbitration proceeding.

Dated: September 10, 2026

Respectfully submitted,

/s/ Aaron D. Van Oort
AARON D. VAN OORT

FAEGRE DRINKER BIDDLE & REATH LLP

/s/ Aaron D. Van Oort
Aaron D. Van Oort
Grace Rybak
2200 Wells Fargo Center
90 South Seventh Street
Minneapolis, Minnesota 55402
Aaron.VanOort@FaegreDrinker.com
Grace.Rybak@FaegreDrinker.com
Phone: (612) 766-7000
Fax: (612) 766-1600

Faegre Drinker Biddle & Reath LLP
2200 Wells Fargo Center
90 South Seventh Street
Minneapolis, Minnesota 55402
Phone: (612) 766-7000
Aaron.VanOort@FaegreDrinker.com

and

A. Jeff. Ifrah
Kim Conroy
John Mikuta
IFRAH PLLC
1717 Pennsylvania Ave. NW, Suite 650
Washington, D.C. 20006
Jeff@IfrahLaw.com
KConroy@IfrahLaw.com
JMikuta@IfrahLaw.com
Phone: (202) 524-4140

Counsel for Defendant – Appellant

September 10, 2026

CERTIFICATE OF COMPLIANCE WITH RULE 32(a)

CERTIFICATE OF COMPLIANCE

1. This brief complies with the type-volume limitation of Fed. R. App. P. 32(a)(7)(B) because, excluding the parts of the document exempted by Fed. R. App. P. 32(f), this brief contains 6,272 words, and this brief complies with the word limit of Fed. R. App. P. 32(a)(7)(B).

1. This document complies with the type-volume limit of Fed. R. App. P. 32(a)(7)(B) because, excluding the parts of the document exempted by Fed. R. App. P. 32(f): this brief contains 6,272 words, and this brief complies with the word limit of Fed. R. App. P. 32(a)(7)(B).

☒ this brief contains 6,272 words, excluding the parts of the document exempted by Fed. R. App. P. 32(f).

2. This brief complies with the typeface requirements of Fed. R. App. P. 32(a)(5) and the type-style requirements of Fed. R. App. P. 32(a)(6) because:

2. This document complies with the typeface requirements of Fed. R. App. P. 32(a)(5) and the type style requirements of Fed. R. App. P. 32(a)(6) because this brief has been prepared in a proportionally spaced typeface using Microsoft Office Word 2013 using 14-point Garamond.

☒ this document has been prepared in a proportionally spaced typeface using Typst 0.13.0 in 14-point EB Garamond roman type.

3. The brief has been scanned for viruses and it is virus free.

3. The brief has been scanned for viruses and it is virus free.

/s/ Aaron D. Van Oort
Attorney for Defendant – Appellant
Sweepsteaks Limited
Dated: September 10, 2026

/s/ Aaron D. Van Oort
Aaron D. Van Oort

CERTIFICATE OF SERVICE

I hereby certify that on September 10, 2026, I electronically filed the foregoing with the Clerk of the Court for the United States Court of Appeals for the Eighth Circuit by using the appellate CM/ECF system, which will send notification of such filing to all counsel of record.

CM/ECF users and that service will be accomplished by the CM/ECF system.

/s/ Aaron D. Van Oort

Attorney for Defendant – Appellant

Sweepsteaks Limited

Dated: September 10, 2026

/s/ Aaron D. Van Oort

Aaron D. Van Oort